CASCADIA ANALYTICS

Boston Scientific Corporation

Equity Research Note | BSX | 28 OCTOBER 2026

Medtech Cash Compounder

Boston Scientific screens as a Buy with a $70.10 blended target, 56% above the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$45.06	$70.10	+56%	BUY

Investment Thesis

Medtech Cash Compounder. Cardiovascular device leader with 69% gross margins, GAAP operating margins expanding from 13.0% to 18.0% (FY22-25), ROE 19.3% and D/E of 0.43. Scale, IP and physician relationships form a genuine moat [10-K]. Air Pocket, Not a Broken Model. Q2 delivered 7% organic growth and a 15% EPS beat [10-Q Q2 '26]. H2 pressure comes from WATCHMAN and EP share losses plus a September cyber incident, forcing FY26 guidance down to about 3.75% organic [Q3 '26 release]. Painful but identifiable. +51%

- Medtech Cash Compounder
- Air Pocket, Not a Broken Model
- +51% Upside With a Trigger

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The latest print

Air Pocket, Not a Broken Model. Q2 delivered 7% organic growth and a 15% EPS beat. H2 pressure comes from WATCHMAN and EP share losses plus a September cyber incident, forcing FY26 guidance down to about 3.75% organic. Painful but identifiable.

+51% Upside With a Trigger. At $45.06, DCF base $68.20 implies +51% upside and the reverse DCF prices -0.7% CAGR, below the 3% bear case. The Oct 28 Q3 reset cleared the old baseline and can rerate the name.

$5.44B	$0.86	28.4%	~4.25% reported, ~3.75% organic, $3.16-3.18 EPS	$5.14B sales (
REVENUE (Q2 '26)	ADJ EPS (Q2 '26)	ADJ OP MARGIN (Q2 '26)	FY2026 GUIDE (CUT)	LATEST REPORTED

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q2 '26)	$5.44B	+7.5% (7% organic)	Up
Adj EPS (Q2 '26)	$0.86	+15% (beat $0.83 cons)	Up
Adj Op Margin (Q2 '26)	28.4%	+120 bps	Up
FY2026 Guide (cut)	~4.25% reported, ~3.75% organic, $3.16-3.18 EPS	Cut again at Q3 print	Down
Latest reported quarter	$5.14B sales (+1.5%), $0.73 adj EPS	vs $0.75 prior year	Down
Sep 8 Disclosure	Cyber incident	Guides cut again at Q3 print	Down
Net Margin (TTM)	17.5%	+6 pts	Up
Consensus Price Target	$68.60	Moderate Buy	Down

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Boston Scientific Corporation valuation framework · Generated 28 October 2026
Current version: cascadia.jda-properties.com/#/ticker/BSX

The moat

Interventional cardiology, neuromodulation and interventional oncology delivered double-digit growth in H1 2026

The growth engine

New COO (Joseph Fitzgerald) and 3-segment structure effective Jan 1, 2027 to speed decisions and improve capital allocation

Three scenarios make the valuation range explicit

Three scenarios frame the range; the blended target balances the three outcomes.

SCENARIO	2027-36 CAGR	2036 REVENUE	2036 EBIT MARGIN	TARGET	UPSIDE
Bear	3.0%	$28.10B	19.9%	**$52.00**	+15%
Base	5.0%	$34.15B	23.1%	**$68.20**	+51%
Bull	7.0%	$41.34B	27.4%	**$91.90**	+104%

Bear: downside case at $52.00 (+15%).

Base: central case at $68.20 (+51%).

Bull: upside case at $91.90 (+104%).

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The probability-blended target implies 56% upside

The blended target implies +56% from the $45.06 reference price, balancing the Bear, Base and Bull outcomes in the scenario matrix.

$70.10
BLENDED TARGET

The valuation uses a ten-year discounted cash flow framework (2027-2036) across three scenarios. Discount rates are market-implied and updated from live market inputs. The scenario margins (19.9% Bear, 23.1% Base, 27.4% Bull at the horizon) are the posture to judge: the terminal Base margin sits above every filed GAAP year (filed peak 19.8% TTM to Q2 2026) but below the current 28.4% adjusted operating margin.

The present value of terminal value is 61.8% of Bear, 65.0% of Base and 68.1% of Bull enterprise value, so the targets rest primarily on terminal-year economics rather than on the explicit forecast years.

Reference price	**$45.06**
Bear target	**$52.00**
Base target	**$68.20**
Bull target	**$91.90**
Blended target	**$70.10**

BUY | $70.10 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

The market-implied revenue CAGR is -0.7%, below Bear case (3%) , pessimistic.

Reverse DCF sensitivity

Implied enterprise value and share price at each ten-year revenue CAGR. The highlighted row sits nearest the market-implied CAGR.

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CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-10%	$35.5B	$15.89	+10%	$169.4B	$106.62	+30%	$771.6B	$514.93
-9%	$38.3B	$17.76	+11%	$183.2B	$116.01	+31%	$829.3B	$554.04
-8%	$41.3B	$19.80	+12%	$198.1B	$126.13	+32%	$891.0B	$595.85
-7%	$44.6B	$22.02	+13%	$214.2B	$137.05	+33%	$956.8B	$640.50
-6%	$48.1B	$24.42	+14%	$231.6B	$148.82	+34%	$1027.2B	$688.19
-5%	$52.0B	$27.04	+15%	$250.3B	$161.50	+35%	$1102.2B	$739.08
-4%	$56.2B	$29.88	+16%	$270.4B	$175.15	+36%	$1182.3B	$793.38
-3%	$60.7B	$32.97	+17%	$292.1B	$189.85	+37%	$1267.7B	$851.29
-2%	$65.7B	$36.32	+18%	$315.4B	$205.66	+38%	$1358.8B	$913.02
-1%	**$71.0B**	**$39.95**	+19%	$340.5B	$222.65	+39%	$1455.8B	$978.79
+0%	$76.8B	$43.90	+20%	$367.4B	$240.92	+40%	$1559.1B	$1,048.84
+1%	$83.1B	$48.17	+21%	$396.4B	$260.54	+41%	$1669.1B	$1,123.42
+2%	$90.0B	$52.81	+22%	$427.5B	$281.61	+42%	$1786.2B	$1,202.80
+3%	$97.4B	$57.83	+23%	$460.8B	$304.22	+43%	$1910.8B	$1,287.23
+4%	$105.4B	$63.28	+24%	$496.6B	$328.47	+44%	$2043.2B	$1,377.02
+5%	$114.1B	$69.17	+25%	$534.9B	$354.47	+45%	$2184.0B	$1,472.46
+6%	$123.5B	$75.54	+26%	$576.0B	$382.34	+46%	$2333.5B	$1,573.87
+7%	$133.7B	$82.43	+27%	$620.1B	$412.19	+47%	$2492.4B	$1,681.58
+8%	$144.7B	$89.88	+28%	$667.2B	$444.14	+48%	$2661.1B	$1,795.95
+9%	$156.5B	$97.93	+29%	$717.6B	$478.34			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

SCENARIO	ENTERPRISE VALUE	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$88.75B	-$12.09B	$76.67B	**$52.00**
Base	$112.64B	-$12.09B	$100.55B	**$68.20**
Bull	$147.67B	-$12.09B	$135.59B	**$91.90**

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Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036
Bear	$52.00	$55.72	$56.60	$57.45	$58.27	$59.05	$59.78	$60.45	$61.07	$61.61	$62.08
Base	$68.20	$73.07	$75.11	$77.11	$79.05	$80.91	$82.67	$84.32	$85.82	$87.15	$88.29
Bull	$91.90	$98.52	$102.30	$106.04	$109.69	$113.23	$116.61	$119.79	$122.69	$125.27	$127.45

Competitive moat and concentration risk

We rate the moat as Narrow and we view the market structure as Oligopoly (medtech). We assign a premium of +15% to sector median multiples on moat strength alone.

- niche leadership with regulatory/clinical barriers, ~65% share of the pulsed-field ablation (PFA) market exiting 2025, WATCHMAN left-atrial-appendage franchise, and 2026 organic growth guidance of 10-11% with adjusted EPS $3.43-$3.49 (+12-14%) (Q4 2025 earnings coverage, Feb 2026).
- Gross margin 68.3% (TTM to Sep 2025) / 68.8% (TTM to Dec 2025) per Simply Wall St / S&P data (2025-2026), with adjusted operating margin guided +50-75 bps in 2026 (Feb 2026 coverage). A ~68% gross margin sustained while absorbing tariffs is pricing-power evidence; the flat gross-margin guide is why this is Narrow, not Wide.
- The weakest element is share is contestable, management itself anticipates potential PFA share losses against competition even while growing above the expected 15% market rate, and 2026 gross margin is guided only "roughly in line" with 2025 as tariffs and supply-chain investment offset mix.

On a multiple cross-check, the justified range is 20.8-22.8x / 18.5-20.2x. The cross-check value is $62-$68 vs Base $70.22, spot $44.90, on a base of Framework base from the October 27 moat report. The gap verdict is No upward gap, DCF already above spot; cross-check near Base, well above spot.

We have no disclosed backlog figure for this company, so backlog gives no support to the growth path here.

We score concentration and credit risk across seven families, where a High score is 8 points, a Medium score is 4 points, and a Low score is 1 point.

Risk family	Score
customer concentration	Not disclosed
counterparty credit and funding dependence	1 points
single product, single program, or single platform dependency	4 points

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single supplier, single fab, or single geography exposure	1 points
platform, channel, or distribution dependency	4 points
customer insourcing risk	1 points
regulatory single point risk	4 points

The combined discount is 15 percent, capped at 20 percent, against an uncapped total of 15 percent. Shown side by side with the moat premium or discount, the net stance is 0 pp points arithmetically. We do not net these figures into a new target, and we do not double count a family excluded under the double-count rule.

The ladder ranks risk coarsely, and because 32 of the 47 names reach the 20 percent cap, the combined discount is not a mechanical valuation haircut until the ladder is recalibrated.

On the gap to spot, the concentration assessment reads as follows. Arithmetic width 42% of gap; no causal claim

Both the moat premium or discount and the concentration discount are multiple and risk cross-checks dated October 27, 2026, and neither figure is in the DCF target itself. Cross-check figures were computed against the Base in the October 27 framework, so they may differ from a live Base that has since moved.

Methodology note. Our valuation framework discounts scenario cash flows at market-implied discount rates updated from live market inputs. The $70.10 headline target is the blended outcome of the Bear, Base and Bull scenarios in the matrix above.

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The franchise deep dive

Interventional cardiology, neuromodulation and interventional oncology delivered double-digit growth in H1 2026

New COO (Joseph Fitzgerald) and 3-segment structure effective Jan 1, 2027 to speed decisions and improve capital allocation

69% gross margins and 28.4% adjusted operating margins funding the pipeline and debt paydown

Revenue and margin trend

METRIC	2022	2023	2024	2025	TTM
Revenue	$12.68B	$14.24B	$16.75B	$20.07B	$21.00B
Gross Margin	68.8%	69.5%	68.6%	69.0%	69.2%
Op Margin	13.0%	16.5%	15.5%	18.0%	19.8%

Valuation cross-check

Fwd P/E 13.1x

DCF Base $68.20

PEG ~1.0

+51% upside to the base case. A PEG near 1.0 is rare for a consistent double-digit EPS grower, though the cyber overhang earns the discount.

Large-cap device peers trade at higher multiples

BSX screens cheap versus medtech peers despite a historically superior organic growth profile. The discount reflects near-term uncertainty, not structural decline.

Near 52w low $41.38 vs high $105.65

Trading roughly 60% below its 52-week high after the guidance cut and cyber disclosure, at the low end of its historical multiple range.

What to monitor

28-Oct-2026. Q3 2026 Earnings + Revised Outlook (Two-Sided): Oct 28 reset print set the new baseline after the Sep 8 statement warned Q3 and FY guidance were unlikely to be met following the cyber incident. Q4 is guided to a sales decline and FY organic growth to about 3.75%.

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Jan 2027. New COO + 3-Segment Structure (Positive): Joseph Fitzgerald takes over as COO; Interventional Therapies, Rhythm Solutions and MedSurg segments begin, designed to speed decisions.

2027. Pipeline Acceleration (Positive): Interventional cardiology, neuromodulation and interventional oncology delivered double-digit growth in H1 2026; product cycles need to offset WATCHMAN/EP pressure.

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2022	$12.7B	$8.7B	$1.6B	$2.7B
2023	$14.2B	$9.9B	$2.3B	$3.4B
2024	$16.7B	$11.5B	$2.6B	$3.9B
2025	$20.1B	$13.9B	$3.6B	$5.1B

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2022	$32.5B	$14.9B	$17.6B	$928M
2023	$35.1B	$15.6B	$19.3B	$865M
2024	$39.4B	$17.4B	$21.8B	$414M
2025	$43.7B	$19.2B	$24.2B	$2.0B

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Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2022	$1.5B	$-612M	$-548M	$914M
2023	$2.5B	$-800M	$5M	$1.7B
2024	$3.4B	$-1.1B	$1.8B	$2.4B
2025	$4.5B	$-1.1B	$-395M	$3.4B

Methodology note. Our valuation framework discounts scenario cash flows at market-implied discount rates updated from live market inputs. The $70.10 headline target is the blended outcome of the Bear, Base and Bull scenarios in the matrix above.

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Agency risk score 44 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 0.25% of shares outstanding. Form 4 filings over the trailing six months show $10.04M of open-market purchases against $0 of sales, a net flow of $10.04M. One-year total shareholder return is -55.1% against CEO total pay of $5.73M (Mr. Michael F. Mahoney), which the model scores as SUB-OPTIMAL ALIGNMENT.

44
AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	2 / 40	0.25% of shares held by insiders
Form 4 Flow (Conviction Flow)	30 / 30	Buys $10.04M (8) vs sales $0 (0), net $10.04M, trailing six months
Pay-for-Performance	12 / 30	SUB-OPTIMAL ALIGNMENT: Negative Shareholder Returns vs Static Executive Comp. 1Y TSR -55.1%; Mr. Michael F. Mahoney, Chairman, President & CEO, total pay $5.73M
Agency Risk Score	**44 / 100**	Regime: HIGH AGENCY RISK // VALUE TRAP

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Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-08-25	Morano Susan E.	Director	BUY	2,040	$100.4K
2026-08-05	Habiger David C	Director	BUY	2,100	$99.9K
2026-08-04	Habiger David C	Director	BUY	1,182	$56.9K
2026-08-03	Mahoney Michael F	Chief Executive Officer	BUY	186,240	$9.00M
2026-07-31	Ludwig Edward J.	Director	BUY	5,000	$227.4K
2026-05-20	Ludwig Edward J.	Director	BUY	3,580	$202.9K
2026-05-20	Habiger David C	Director	BUY	4,450	$251.1K
2026-05-20	Pegus Cheryl	Director	BUY	1,770	$100.0K

SEC proxy audit, DEF 14A filed 2026-03-18

Alignment grade C. COMPENSATION DATA NOT PROVIDED. Michael F. Mahoney, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
N/A	N/A	N/A	N/A

The provided proxy excerpt contains only introductory voting items and initial director nominees (pages 1–13), omitting the Executive Compensation section that begins on page 76. Without the Summary Compensation Table and CD&A disclosures, specific compensation shifts, annual bonus determinations, and TSR linkages cannot be audited from this excerpt. Access to the full DEF 14A filing is required to quantify executive pay alignment.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/885725/000088572526000025/bsx-20260318.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 28 October 2026 for this note.

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The bear case

Cyber Incident Overhang

September 8 statement says Q3 and full-year guidance are unlikely to be met after the incident; the October 28 revision cut FY guidance to about 3.75% organic and guided a Q4 sales decline of 1-3%.

WATCHMAN Structural Decline

The US WATCHMAN market slowed sharply and unexpectedly on compounding clinical evidence, shifting referral patterns. This was a core growth driver and may be structural, not cyclical.

EP Competitive Share Loss

Management did not anticipate the degree of competitive share movement in US electrophysiology. Share recapture is uncertain and expensive.

The strengths

Operating Quality

Cardiovascular device leader with 69% gross margins, GAAP operating margins expanding 13.0% to 18.0% (FY22-25), ROE 19.3%, and conservative leverage (D/E 0.43). Scale, IP and physician relationships are a real moat.

Recent Trend

Revenue grew 12.7B to 20.1B (FY22-25) but H1 2026 organic was 7% and H2 is pressured: WATCHMAN slowed sharply, EP lost US share, and management cut FY26 organic guidance to about 3.75%. Trend is bending, not breaking.

Forward Growth

New COO and 3-segment structure in Jan 2027, plus double-digit growth in IC/ neuromodulation/oncology, support recovery. But WATCHMAN structural slowdown, EP competition and the cyber disruption cap near-term visibility.

Valuation

DCF base $68.20 vs spot $45.06 implies +51% upside. Forward P/E 13.1x with PEG near 1.0 is cheap vs device peers and vs own history (near 52w low). Reverse DCF implies -0.7% CAGR, well below the 3% bear case.

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Cascadia scorecard

Composite score 65: Attractive. Confidence High, as of 28-Oct-2026.

PILLAR	RATIONALE	SCORE
Operating Quality	Cardiovascular device leader with 69% gross margins, GAAP operating margins expanding 13.0% to 18.0% (FY22-25), ROE 19.3%, and conservative leverage (D/E 0.43). Scale, IP and physician relationships are a real moat.	80
Recent Trend	Revenue grew 12.7B to 20.1B (FY22-25) but H1 2026 organic was 7% and H2 is pressured: WATCHMAN slowed sharply, EP lost US share, and management cut FY26 organic guidance to about 3.75%. Trend is bending, not breaking.	55
Forward Growth	New COO and 3-segment structure in Jan 2027, plus double-digit growth in IC/neuromodulation/oncology, support recovery. But WATCHMAN structural slowdown, EP competition and the cyber disruption cap near-term visibility.	55
Valuation	DCF base $68.20 vs spot $45.06 implies +51% upside. Forward P/E 13.1x with PEG near 1.0 is cheap vs device peers and vs own history (near 52w low). Reverse DCF implies -0.7% CAGR, well below the 3% bear case.	76
Catalysts & Risk	Oct 28 Q3 print with the revised outlook was the clearing event. Management change and pipeline cycles are positives, but the cyber incident extent is unknown and guidance credibility is damaged. Skew is balanced near term.	55

Investment view

The Oct 28 Q3 print and revised outlook reset the baseline: if the cyber impact is contained and the new baseline is credible, Valuation and Trend rerate quickly. Another cut would drop Forward Growth and jeopardize the Buy rating.

Investment view: Buy. The $70.10 blended target implies +56%, balancing the $52.00 / $68.20 / $91.90 Bear / Base / Bull outcomes.

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